

China shifts focus to next-generation cleantech

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【メール原文】

China's cleantech focus will shift from mass deployment to next-generation technologies.

Energy-specific sectoral FYPs published since June confirm th|||||||

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Beijing will prioritize next-generation cleantech over mature technologies

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Short-term trajectory:

Long-term trajectory:

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Additional guidance released under China's 15th Five-Year Plan (FYP) points to significant changes in the domestic policy environment for energy technologies, with more policy support focused on next-generation technologies like solid state and semi-solid state batteries.

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Fiscal support will decrease for mature energy technologies like solar and most existing lithium iron phosphate (LFP) batteries that reached massive deployment during the 14th FYP, pushing Chinese manufacturers in these segments toward more exports and domestic capacity restraint.

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High energy density batteries will face the strictest export controls of any energy technology during the 15th FYP because of strategic non-energy applications.

China's cleantech focus will shift from mass deployment to next-generation technologies.

Energy-specific sectoral FYPs published since June confirm that planners in Beijing are deprioritizing demand growth for mature energy technology segments like utility-scale solar projects or new energy vehicle (NEV) sales with existing LFP batteries.

Instead, the core aims of the 15th FYP for Chinese energy technology policy will be threefold: ensuring that China's energy system and grid infrastructure can accommodate the 14th FYP's massive deployment of renewables and NEVs, encouraging new technology breakthroughs that address those system engineering challenges, and identifying new pathways for energy import substitution. Strategic lessons from Iran-related disruptions have helped to cement this policy direction in the 15th FYP (see: [Iran disruptions will further entrench Beijing's energy security playbook](#) , 15 March 2026).

The 15th FYP will provide less fiscal space for subsidy support. The 14th FYP period saw broad-based subsidies across the NEV and new energy supply chains. The 15th FYP will be more selective in which energy technologies receive fiscal support, particularly for local government funding for new projects. Technology firms not benefiting from new subsidy support will be pushed to expand capital market financing. Grid infrastructure investments remain an area of fiscal spending growth for the 15th FYP, distinct from the upstream technology ecosystem.

This shift in narrative and policy will have distinct implications across energy technologies. The chart below ranks key technologies by the likely level of policy support during the 15th FYP relative to the 14th FYP.

High density batteries will be a particular priority during the 15th FYP. For solid state and semi-solid state batteries, standards in the auto sector and power sector will encourage more demand drivers compared to current-generation LFP batteries. Chinese planners have an established playbook for deploying policy incentives to raise battery standards. The removal of tax exemptions for most LFP batteries in July is one first step in this direction. Sodium-ion batteries are also likely to receive more policy support during the 15th FYP, but Beijing views them as more niche and less strategically valuable than solid state batteries.

Beijing will also increase policy support for novel forms of LDES and pumped hydropower. Chinese planners are candid that the primary near-term challenge for China's power sector transformation is guaranteeing system reliability during winter months, which requires more improvements in LDES and seasonal storage.

China's existing solar supply chain will likely see capacity reductions in the 15th FYP. Solar is the cleantech segment where domestic overcapacity is most acute, and where the 15th FYP domestic demand outlook will be weakest compared to the 14th FYP (driven primarily by power market reforms). This will push Chinese solar manufacturers into other cleantech business lines and to focus more on exports. For solar, the next-generation technology pathway emerging in Chinese policy documents is primarily around perovskite cells, but that technology is further from commercialization than next-generation batteries.

China will closely guard next-generation breakthroughs using export controls. For batteries in particular, the technologies that will receive most direct support during the 15th FYP will largely exceed the 300 watt-hour per kilogram energy density threshold for export control approval established in China's (now-suspended) October 2025 export controls. Given batteries' overlap with sensitive areas of non-energy development like drones and the low-altitude economy, they will face the strictest export control enforcement of any energy technology. Restrictions on Chinese battery technology will be enforced both through formal export controls and through entry/exit rules for relevant personnel (see: Beijing's exit rules tighten talent mobility , 27 August 2026).

For other global manufacturers in these industries, the 15th FYP will likely drive a deeper bifurcation between the China and non-China technology ecosystems. However, as more current-generation solar and battery production assets in China become outdated and struggle to find sources of domestic demand growth, non-China competitors will have opportunities to acquire manufacturing inputs for overseas production. Those purchases will still need to secure Chinese export control approvals, but face better odds than next-generation assets.

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